

there the innovative investor can use this scaffolding to dive deeper into valuations.

Let's start with a hypothetical Brazilian merchant who wants to buy US\$100,000 worth of steel from a Chinese manufacturer. While this particular merchant is hypothetical, adoption of bitcoin by Latin American merchants has been well documented.⁹ The merchant wants to use bitcoin because it will allow her to transfer that money within an hour as opposed to waiting a week or more. Therefore, the Brazilian merchant buys US\$100,000 worth of bitcoin and sends it to the Chinese manufacturer. While the manufacturer is waiting for that transaction to be incorporated into Bitcoin's blockchain, that bitcoin is frozen, temporarily drawn out of the available supply of bitcoin.

Now imagine there are 99,999 other merchants wanting to do the same thing. In total, among all these merchants, there is demand for US\$10 billion worth of bitcoin (100,000 people wanting to send US\$100,000 each), simply because it is more expedient at moving money between Brazil and China than other available payment methods. US\$10 billion worth of demand with bitcoin trading at \$1,000 converts to 10 million coins being temporarily frozen or drawn out of the available supply of bitcoin.

But consider that a significant amount of bitcoin is also being held by investors. Those investors do not plan to sell their bitcoin for some time because they are speculating that due to its utility as MoIP, demand will continue to rise and so too will its value. Currently, roughly 5.5 million bitcoin, or